

SUPERIOR COURT OF CALIFORNIA
COUNTY OF VENTURA

Tentative Ruling

2025CUNP042170: CITY OF OXNARD, et al. vs EADIE+PAYNE, LLP, et al.

09/22/2026 in Department 40

Demurrer to Second Amended Complaint

CITY OF OXNARD, ex rel. MOVING OXNARD FORWARD, INC., vs EADIE+PAYNE LLP, EDEN CASARENO, ALEXANDER NGUYEN, STEPHEN FISCHER, and DOES 3 THROUGH 25, INCLUSIVE

2025CUNP042170

September 22, 2026; at 8:20 a.m.

Judge Hayashi, D40

Motion: Defendant Alexander Nguyen’s Demurrer to Second Amended Complaint (*Opposed*); Defendant’s Request for Judicial Notice.

Background: This is a qui tam action seeking monetary damages for an alleged violation of the California False Claims Act’s “Rotation Requirement” for auditors, and disgorgement of funds paid to auditors who allegedly violated the Rotation Requirement. The Rotation Requirement essentially prohibits a local agency from using the same accountant at a public accounting firm to perform an audit if that individual provided audit services to the agency for the past six consecutive years, unless the Controller waived the requirement due to the unavailability of another accountant. (See Gov. Code, § 12410.6, subd. (b).)

Second Amended Complaint (“SAC”): On June 3, 2026, Plaintiff filed the operative SAC. In the SAC Plaintiff City of Oxnard (“Oxnard” or “the City”), ex rel. Moving Oxnard Forward, Inc. (“MOF”, “Plaintiff”, or “Relator”) asserted causes of action against Defendants Eadie+Payne, LLP (“E+P”) and Eden Casareno (“Casareno”) (collectively, “Auditor Defendants”) and Defendants Alexander Nguyen (“Nguyen”) and Stephen Fischer (“Fischer”) (collectively, “City Defendants”).

The SAC asserts the following four causes of action: (1) “Making a False Claim (Gov. Code, § 12650(a)(1))” (v. Auditor Defendants); (2) “Making a False Statement Material to the False Claim (Gov. Code, § 12650(a)(2))” (v. Auditor Defendants and Fischer); (3) “Conspiracy to Violate the California False Claims Act (Gov. Code, § 12650(a)(3))” (v. all Defendants); (4) “Disgorgement of Unlawfully Received Public Funds (Code Civ. Proc. § 526a; Cal. Const., Art. XVI, § 6)” (v. all Defendants).

The SAC is voluminous, containing 236 paragraphs plus hundreds of pages of exhibits, all of which were reviewed and considered. However, in the SAC, Relator brings only the Third and Fourth Causes of Action against Defendant Nguyen and no longer alleges the Second Cause of Action against Defendant Nguyen.

Court's Ruling on First Amended Complaint as to Defendant Nguyen

On May 19, 2026, in response to Defendant Nguyen's demurer to the First Amended Complaint (FAC), the Court Sustained Defendant Nguyen's demurer as to the Second, Third, and Fourth Causes of Action. The Court found the FAC allegations were insufficient to support Defendant Nguyen's involvement in a conspiracy.

The Court identified there were no allegations in the FAC establishing Defendant Nguyen made any false statements or material misrepresentation in connection with any false claim submitted to the City. The Court found the reference to Defendant Nguyen, as a City Conspirator, ensuring "the City paid the Auditors an above-market fee, and in exchange, the Auditors would allow the City Conspirators to influence their audit findings" (FAC ¶ 19) to be vague. In addition, the Court concluded the several references as to conduct by the "City Conspirators" did not sufficiently plead statements or conduct by Defendant Nguyen, thereby failing to specify any false statements by Nguyen. Further, the Court declined at the time to decide the issue of official duty privilege because, without any alleged false statement, the Court could not determine whether any such statements would be protected by this privilege. Finally, the Court directed Plaintiff that the pleadings could be cured if Plaintiff knows of actual statements or conduct by Nguyen, facts that could support the elements of a false claim and actual damages arising from the wrongful conduct, or the required elements of conspiracy against Nguyen.

Additional Facts Alleged in SAC Against Defendant Nguyen

Plaintiff alleges additional facts in the SAC against Defendant Nguyen, found at paragraphs 224 through 231. However, Plaintiff does not plead facts constituting a specific false statement or material misrepresentation allegedly made by Defendant Nguyen in connection with any violations alleged in the Third or Fourth Causes of Actions. Rather, the additional facts pled amount to unsupported speculation. In summary, Plaintiff alleges Defendant Nguyen's knowledge of the Rotation Requirement and his presence at city council meetings and discussions with city councilmembers when the auditor issue was discussed and addressed. From these and similar facts, Plaintiff speculates Defendant Nguyen impacted councilmembers' votes regarding the auditor, had knowledge of the City's alleged failure to comply with the Rotation Requirement, and his failure to take any action to correct the error thereby constituted his acquiescence to the CFCA violation in furtherance of a conspiracy.

Judicial Notice

Defendant Nguyen requests the Court take Judicial Notice over the following:

1. Moving Oxnard Forward, Inc.'s and Aaron Starr's Verified Petition for Writ of Mandate and Complaint for Declaratory and Injunctive Relief filed in the Ventura County Superior Court action *Moving Oxnard Forward, Inc., et al. v. City of Oxnard*, Case No. 2023CUWM011768, on or about July 25, 2023.
2. City of Oxnard's Verified Answer to Petition for Writ of Mandamus and Complaint for Declaratory and Injunctive Relief filed in the Ventura County Superior Court action *Moving Oxnard Forward, Inc., et al. v. City of Oxnard*, Case No. 2023CUWM011768, on or about September 7, 2023.

3. The Court's Ruling on Submitted Matter in the Ventura County Superior Court action *Moving Oxnard Forward, Inc., et al. v. City of Oxnard*, Case No. 2023CUWM011768, dated on or about November 26, 2024.
4. Meeting Minutes from April 13, 2023, Oxnard City Council Regular Meeting.
5. A recording of the April 13, 2023 Oxnard City Council Meeting.
6. A transcript of the April 13, 2023, Oxnard City Council Meeting.
7. Plaintiff's statements made in an online article from Plaintiff's own website Moving Oxnard Forward, titled "Payments to Auditors Were Illegal Expenditures" and published on December 1, 2024.
8. This Court's May 19, 2026 Ruling on Defendants' Demurrers to the First Amended Complaint in this action.

Defendant Nguyen's request for judicial notice of relevant court records and records of official acts supported by Evidence Code, section 452, subdivisions (c), (d), and (h).

Applicable Law

A party may object to a complaint by demurrer when the complaint does not state facts sufficient to constitute a cause of action, or when the Court has no jurisdiction to decide the subject action. Code Civ. Proc., § 430.10(a), (e). "[T]he allegations of a [CFCA] complaint must be pleaded with particularity." (*JPMorgan Chase Bank, N.A. v. Superior Ct.* (2022) 85 Cal.App.5th 477, 494 (quotations omitted).) "This particularity requirement necessitates pleading facts which 'show how, when, where, to whom, and by what means the representations were tendered.'" (*Lauckhart v. El Macero Homeowners Assn.* (2023) 92 Cal.App.5th 889, 904 (citations omitted); *State of California ex rel. McCann v. Bank of America, N.A.* (2011) 191 Cal.App.4th 897, 906 (CFCA claims must be pled with particularity); *City of Pomona v. Superior Ct.* (2001) 89 Cal.App.4th 793, 803 (must plead "'time, place, and contents of the false representations'" and "'the identity of the person making [it] and what he obtained thereby.'" (quotations omitted).)

The SAC does not meet the legal standard regarding the Third and Fourth Causes of Action against Defendant Nguyen. The SAC does not plead with particularity or state facts sufficient to constitute a cause of action for Conspiracy to Violate the CFCA or Disgorgement of Unlawfully Received Public Funds. Plaintiff failed to cure the inadequate pleadings. Plaintiff did not allege Defendant Nguyen made any false statements or material misrepresentation in connection with the violations alleged in the SAC. Nor did the additional facts pled support the elements of a false claim with actual damages arising from the wrongful conduct, or the required elements of conspiracy against Defendant Nguyen. Rather, the SAC fails to allege facts which show how, when, where, to whom, and by what means Defendant Nguyen allegedly engaged in conspiracy to violation the CFCS and failed to allege a misrepresentation made by Defendant Nguyen.

Disposition

Defendant Nguyen's Request for Judicial Notice is GRANTED.

Defendant Nguyen's Demurrer to the Second Amended Complaint is SUSTAINED